the Board by three officers and they also had the right to call for bank records and to appoint an officer to inspect them, and to call for information from the bank. Lastly, the office of Secretary and Treasurer was held by a covenanted civilian almost continuously up to the time of the Mutiny.[5]

In 1817, the Directors of the bank discovered that by maintaining a rate of interest of only 6 to 8 percent when money was very scarce, they were playing into the hands of the shroffs who took the bank's money at this rate and lent it out at extortionate rates of interest. It was decided that the rate should be made to 'fluctuate according to the demand for money.' In 1822, the Directors asked the government to sanction the increase of the bank's capital from ₹50 to ₹100 lakhs, reduce the cash reserve limit to one-fourth of the outstanding liabilities, and the remove the restriction which prohibited the bank from issuing notes in excess of its capital. The next charter, which was given in 1823, permitted a note issue up to four times the bank's capital. The proposal regarding the cash reserve was also agreed to but the increase in capital was not. In 1829, permission for an increase in capital by ₹20 lakhs was given but by that time by that time it appears bank itself was unwilling to increase its capital.[6]

In 1829, the Rajkissen Dutt forgeries occurred. The bank had advanced money on Company's paper which had been certified as genuine by the Treasury before being accepted by the bank. When it was subsequently discovered that the paper was forged, the government declined to make good the loss of ₹3.5 lakhs which the bank had suffered. The case was carried by the bank to the Court of Directors and the Privy Council but without success. In 1834, the Directors had to write off the whole amount with the result that no dividend could be declared. So great was the consternation in the bazaar at this news that the bank's shares fell temporarily from 60 percent premium to par (?4,000).[7] The excitement was temporary and benefited only those who seized the opportunity to purchase as many of the bank's shares as they could because in the following year they returned to their former level.[8]

Meanwhile the bank, and Calcutta generally, had been passing through difficult times. Between 1829 and 1832 there were several severe commercial panics consequent on the failure of some of the largest of the Calcutta houses. The bank itself appears to have been in no great danger but stepped in to protect one of the most important firms which still remained